COMMERCIAL & SAAS COLLECTIONS · REFERENCE

Disputed & Non-Responsive Invoices

How contested B2B invoices are validated, how silent commercial accounts are recovered, and what the law and the fees actually look like

Two situations account for most of the receivables a B2B or SaaS finance team cannot resolve on its own: the invoice a customer disputes, and the customer who simply stops responding. They look different, but they share a solution — a documented, professional process that either resolves the dispute on its merits or applies escalating, lawful pressure until a silent account re-engages. This reference walks through both, then answers the questions finance leaders ask next: how you stop disputes before they start, what recovery costs, what the law allows, and how to choose the right partner.

Executive summary

- A dispute pauses recovery; it does not end it. Documentation — the order form, invoices, usage or delivery records, and the communication trail — resolves it, usually within a 30–60 day investigation.
- Silent accounts are recovered through an escalating ladder: third-party demand, persistent omnichannel outreach, commercial skip tracing, commercial credit reporting, and, as a last resort, legal action.
- Commercial contingency is a sliding scale — roughly 10–40% of what is recovered, with early-out work lower — and carries no upfront cost on a pure-contingency model.
- B2B debt is not consumer debt: the FDCPA's consumer rules do not apply, but the UCC and state law — including a finite 3–6 year statute of limitations — do.

Recovery of this kind earns its keep for businesses that extend trade credit at volume — most often mid-market companies in roughly the $10M–$100M revenue range, where past-due balances are large enough to matter but a full in-house collections function is not cost-justified. The playbook that follows applies across sectors: SaaS and subscription (renewal, usage and license invoices), freight and logistics, manufacturing and distribution, construction and contracting, staffing and professional services, and energy services. If you extend net terms to other businesses and carry a past-due bucket, it applies to your book.

Part 1 — The disputed invoice

A dispute pauses recovery; it does not end it. A professional agency does not simply push harder on a contested balance — it runs a structured investigation to establish whether the dispute has merit before pursuing the account. That protects you from writing off a legitimate balance and from pursuing one you shouldn't, and it is the difference between recovery that holds up and recovery that creates liability.

The investigation is only as fast as the file is complete. For a contested B2B or SaaS invoice, four records do most of the work: the signed order form, MSA or purchase order that establishes what both sides agreed; the itemized invoices and statements that show exactly what was billed; proof of delivery or service completion — for SaaS, the product usage logs and access records that prove value was delivered; and the full communication trail, including reminders, dated call logs, and the customer's own dispute correspondence.

DECISIVE DOCUMENT	WHY IT MATTERS
Signed order form, MSA or purchase order	Establishes the agreement, scope, price and terms both sides accepted.
Itemized invoices & statements	Shows exactly what was billed and reconciles line items against the order.
Proof of delivery / service completion	For SaaS, product usage logs and access records; for services, completion or acceptance records.
Full communication trail	Reminders, dated call logs, prior conversations and the customer's own dispute correspondence.

With the file in hand, the agency speaks with both sides to understand the disagreement and then determines legitimacy — because the two kinds of dispute call for opposite responses. A genuine dispute usually looks like an amount discrepancy that does not match the signed order or PO, a documented quality or delivery problem, or a real contract-interpretation disagreement with clear terms in play; these are returned to your team with a resolution recommendation. A stall tactic looks like "we never received the invoice," vague dissatisfaction with no specifics, or a fresh objection every time the last one is answered; these are worked through professionally, with the documentation as leverage. A dispute investigation typically adds 30–60 days to the timeline, depending on complexity and how complete the records are — one more reason to place while the file is fresh and the paying contact is still reachable.

Most disputes, though, are manufactured by process gaps rather than genuine disagreement, and the cheapest dispute is the one that never happens. Getting the agreement in writing — a signed order form or MSA with clear scope, price and payment terms — leaves little room for "that's not what we agreed." Putting the customer's PO number on every invoice closes the single most common administrative delay. Capturing acceptance through delivery confirmations, go-live dates or usage records preserves the proof that value changed hands. And a short email confirming what was agreed after every call turns a verbal understanding into part of the documented trail.

Part 2 — The non-responsive customer

The account that goes silent is the one an in-house AR team is least equipped to chase. Emails go unanswered, the billing contact has moved on, and the business may have restructured, rebranded, or quietly wound down. Sometimes the customer has decided to churn and simply stops engaging with billing; sometimes the invoice now lands in an inbox no one owns; sometimes the company was acquired or spun down a division; and sometimes there is genuine cash-flow trouble and the balance is real but being avoided. Whatever the cause, recovery here is about reach and persistence, applied lawfully.

Recovering a silent account follows an escalating ladder, and each rung does distinct work. It opens with a **third-party demand** — a formal notice on agency letterhead, sent by a traceable method and stating the amount owed, the invoice reference and a firm deadline. That single step changes the customer's calculus, because it signals the accounts. When it does not, **persistent omnichannel outreach** — phone, email, letter and text on a consistent, documented cadence — supplies the sustained follow-up an internal team rarely has the capacity to maintain across every account. Where the trail has gone cold, **commercial skip tracing** uses databases and tools most businesses cannot access to locate the current operating entity, successor companies, and the principals or guarantors behind a business that has moved or restructured, so a demand reaches a party who can actually pay. Where a delinquency is reportable, **commercial credit reporting** to bureaus such as Dun & Bradstreet and Experian Business affects the debtor's ability to secure trade credit — leverage that consumer-style dunning cannot apply to a business. And only for balances that justify it and will not resolve through outreach does the ladder reach **legal escalation** — suit on the account and judgment enforcement, reviewed with you as a considered final step rather than a first move.

The cadence that carries an account up that ladder is deliberately front-loaded, because the probability of collecting falls sharply after 90 days. A typical sequence runs a first reminder at 15–30 days past due, a firmer notice stating the overdue status plainly at 45–60 days, a certified written demand with a firm deadline at 60–90 days, and third-party agency placement at 90–120 days — escalating well before recovery odds erode.

Re-engaging a silent account is only half the job; converting it to cash is the other half, and it usually resolves one of two ways, both documented in writing. A **lump-sum settlement** — a one-time payment, sometimes at a negotiated reduction — fits the debtor who can pay but has been avoiding it, when certainty now is worth more than chasing the full amount indefinitely. A **structured payment plan** of scheduled installments with clear terms and a documented payoff date fits the debtor whose cash flow is genuinely constrained; more accounts resolve when there is a realistic path to zero than when the only option on the table is pay-in-full. Technique matters as much as the offer: early intervention favors a phone call over email in the first contact window, because a live conversation re-engages a debtor faster and surfaces which of the two paths fits — and every contact is logged in an organized, chronological record that strengthens the file and preserves the option to escalate cleanly if an arrangement is not honored.

Part 3 — What recovery costs, and how long it takes

Commercial recovery is priced so that it only pays when it works; the right structure depends on the age, size and volume of the accounts. Pre-collection or early-out programs, which work fresh accounts as an extension of your AR desk, run lightest. Standard contingency covers most placements, priced on a sliding scale where fresher, larger and higher-volume books sit at the low end and older accounts higher. A per-account or flat-fee model is used occasionally for high-volume, low-dollar batches.

MODEL	TYPICAL RANGE	WHEN IT FITS
Pre-collection / early-out	~5–10% of recovered	Fresh accounts placed early; a formal notice whose impact often prompts payment.
Contingency (standard)	~10–40% of recovered, sliding	Most placements; fresher, larger, higher-volume books price at the low end.
Per-account / flat fee	set per account	Occasionally used for high-volume, low-dollar batches.

These ranges reflect commercial-collections norms industry-wide, not a fixed quote; Southwest Recovery Services is pure contingency — no upfront fee, no retainer, no minimum — and quotes a firm rate against a representative sample of your accounts. Timelines follow the same logic as price. Recent invoices, roughly 60–120 days past due, accounts take 90–180 days or longer, depending on skip tracing, disputes and negotiation. Litigation is the slow path — commonly 6–18 months from filing suit to judgment, plus another 3–12 months for post-judgment enforcement — which is precisely why an outreach-first approach is almost always faster and cheaper than going straight to court.

Part 4 — The law: what you can and can't do

Commercial collections operate under a different framework than consumer collections, and understanding it protects both your recovery and your business. The Fair Debt Collection Practices Act governs *consumer* debt; a business-to-business obligation between two companies is not consumer debt, so the FDCPA's specific consumer restrictions do not apply. Commercial recovery is instead governed by the Uniform Commercial Code and state contract law. That gives it more room to operate — but a reputable agency still holds every account to a professional, documented standard, because in B2B markets your customer relationships and your brand are on the line.

What the law does impose is a clock. Every commercial debt has a legal window during which you can sue to enforce it; once it expires you lose the right to sue, though voluntary payment remains possible. The window generally starts at the date of default or last payment and varies by state and by the type of obligation.

OBLIGATION TYPE / STATE	STATUTE OF LIMITATIONS	NOTES
Written commercial contracts (general)	3–6 years	Varies by governing state.
Oral agreements & open accounts	often 3–4 years	Shorter than written contracts.
Texas	4 years	Most written commercial contracts.
California	4 years	Written contracts.
New York	up to 6 years	Among the longer windows.

Statutes vary by state and obligation type; the governing state depends on the contract and the parties. Confirm the applicable limit with licensed counsel — this reference is not legal advice.

The clock is not always fixed. It can be tolled or reset in some circumstances — when a debtor makes a partial payment, signs a new acknowledgment of the debt, or enters a new payment arrangement — so documented communication with a debtor can actually preserve your legal rights beyond the original deadline. That is one more reason consistent, recorded follow-up matters so much in commercial collections. And if a matter does proceed to suit and you prevail, the judgment becomes an enforcement tool in its own right: it can support garnishment, liens on assets, and bank-account levies against the debtor business, and court judgments typically remain enforceable far longer than the original statute — on the order of a decade or more depending on state law, and often renewable before they expire.

A judgment can also be worth more than the face invoice. Where the contract provides for it, a past-due account can carry contractual late fees and interest, and a judgment can add statutory post-judgment interest plus recoverable court costs — which is why a well-documented account with clear written terms is worth materially more at placement than a bare invoice. We pursue the full recoverable balance the documentation and governing law support, not just the principal, and confirm what is realistically collectible before any account is worked.

Part 5 — Choosing a commercial collection agency

Not every agency is built for B2B work, and the wrong one can cost you a customer relationship, so a short due-diligence pass is worth the time. Look first for **commercial specialization** — recovery under the UCC is a different discipline than consumer collections, and you want a firm that does it as its core business. Confirm **licensing and bonding**: reputable commercial agencies are licensed and bonded where required, and industry standards such as those of the Commercial Collection Agency Association call for surety bonds of at least $300,000 and separate trust accounts for collected funds. Insist on a **compliance-first approach** — current knowledge of applicable law and a documented process on every account, which is the difference between leverage that protects you and tactics that create liability. Favor an agency known for **professional, relationship-preserving** recovery rather than aggression, because your customer may renew and B2B markets are small. And require **transparent, contingency-based pricing** — no upfront fees, clear rates, and reporting you can see, so you always know the status of every placed account.

In practice, these principles play out across every commercial sector. A freight carrier's roughly $45,000 balance resolves into a negotiated payment arrangement within weeks after a demand letter at 75 days and agency placement at 120. A contractor's $40,000 disputed balance settles through a formal demand at 60 days once the documentation is assembled. An oil-and-gas supplier's fifteen invoices totaling about $60,000 are bundled after 90 days for a single, coordinated resolution rather than fragmented follow-up. The throughline is the same in each: a past-due customer today can be a renewed customer tomorrow, so firm recovery that stays professional and precisely documented resolves the balance while protecting the relationship and your brand — and shields you from the liability that aggressive or sloppy collections create.

About Southwest Recovery Services

Southwest Recovery Services is a commercial, B2B-focused collection agency that has recovered business receivables on pure contingency since 2004, working unpaid invoices for finance teams across the country — from subscription and SaaS balances to trade, freight, contracting, healthcare and professional-services receivables. Over two decades we have placed more than $975M in receivables, recovered over $76M for clients, and worked 800,000+ accounts, with nationwide reach across all 50 states from 12 offices in 7 states. The model is simple: pure contingency, with no upfront fee, no retainer and no minimum — no recovery, no fee — backed by a documented, dispute-respecting process, ACA International membership, and a clean compliance record since 2004.

Talk through a contested or silent account

Bring us a disputed invoice or a batch of non-responsive customers. We will tell you honestly what the documentation supports and how we would work it — on contingency, so there is no cost unless we recover.

Call (866) 551-4684 · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes and does not constitute legal advice. Statutes and enforcement rules vary by state; consult licensed counsel on your specific obligations. Southwest Recovery Services is a commercial collection agency recovering business (B2B) receivables nationwide.